



BY K.V. KAMATH

Firing on All Cylinders

From infra to India serving as a destination for global capability centres, the country has a lot going for it

THERE IS A VAST runway for growth in India in the coming decades with several growth drivers. First, the country has an unfinished infrastructure agenda, which any economy of this size and aspiration needs to put in place. Today, every area of infrastructure in the country presents an opportunity for development, whether it is roads, ports, or airports. In the past decade alone, we have made significant progress in the telecommunications sector. However, apart from that, everything needs to be developed. This includes a substantial agenda on urban, city, village, and town rebuilding and rejuvenation, which is often not considered at all. To me, that is going to be a critical part of our growth story over the next five years and beyond.

It will take 15-20 years to develop the infrastructure for a growing economy like ours. In the next five years, this will provide a tremendous opportunity for businesses to invest and grow. I believe that growth in the country will rest on the pillar of

infrastructure. Within this, there are some areas where the government has taken the lead for a variety of reasons. One key area is the road network, which earlier used to face issues around land acquisition, cost overruns, contracts and other challenges, causing the projects to get stuck. Interestingly, the government has introduced what is called the Infrastructure Investment Trust, or InvIT. Through InvITs, road projects are now packaged in a structured way, which facilitates their funding; and the recovered funds are then reinvested in a new road project, creating an almost perpetual cycle of road development.

Most other infrastructure are-

nas, where the private sector plays a prominent role, have a clear path ahead. One specific area I would like to highlight is the power sector. In the past, there were concerns regarding the environment and climate. However, the private sector has once again taken the lead in mitigating them. Although a bit late to the party in the realms of solar and wind energy, the delay has turned out to be advantageous for the country. Because the cost per unit of generation for renewable energy 10 years ago used to be around ₹12, making subsidies necessary. But today, the cost is significantly lower compared to fossil fuels.

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AS THE INDIAN ECONOMY EXPANDS, THE NATURE OF EMPLOYMENT WILL ALSO CHANGE, AND BETTER RULES OF ENGAGEMENT WILL FOLLOW